Australia's current account deficit is $27.2 billion, and fuel and electric vehicles are pushing it wider

The ABS reported on 1 September that the June quarter current account deficit widened from a revised $25.4 billion. Goods and services moved into a second consecutive trade deficit, while the bigger drag is still the $21.9 billion the economy pays overseas in interest and dividends.

−$27.2b
Current account balance, June quarter 2026 (March: −$25.4b, revised)

−$5.1b
Trade balance, goods and services (March: −$2.9b)

−$21.9b
Net primary income (interest, dividends and other income paid overseas)

94.8
Terms of trade, down 1.6% from 96.3 in March

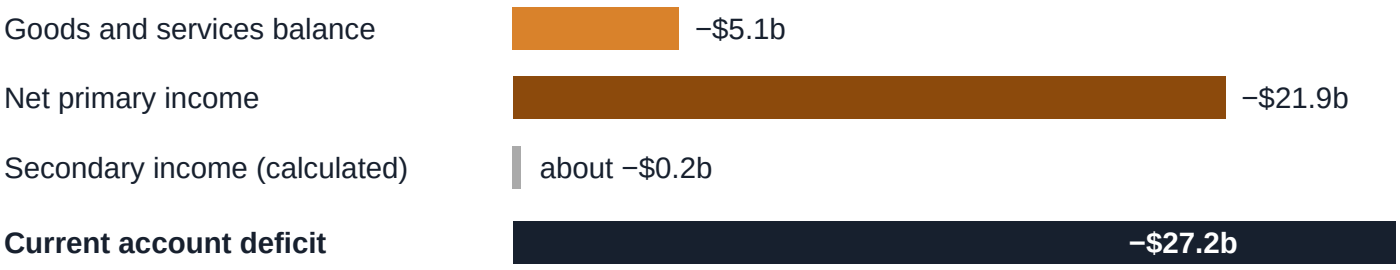
$1,486.0b
Net foreign debt at 30 June 2026, up $63.3b

−$638.9b
Net international investment position, down from −$761.7b in March

What happened

- **Imports grew faster than exports.** Imports of goods and services rose 4.0% and exports rose 2.8%. Goods imports were up 6.9%, while services imports fell 4.1%.
- **Fuel.** Fuel and lubricant imports rose 42.5%, driven by higher crude oil and refined petroleum prices and extra diesel shipments.
- **Electric vehicles.** Non-industrial transport equipment imports rose 38.1% with record imports of electric and plug-in hybrid vehicles. The ABS said the spike "reflects changing consumer preferences".
- **Exports.** Goods exports rose 3.9% on higher prices for energy products such as coal, lithium and other mineral fuels, but the terms of trade still fell because import prices rose faster.
- **Net trade still added to growth.** In volume terms (chain volume) net trade rose $0.7 billion, which the ABS expects to add 0.1 percentage points to June quarter GDP growth.
- **The investment position improved on paper.** Net foreign equity assets rose $186.1 billion to $847.1 billion while net foreign debt rose $63.3 billion, so the net liability fell $122.8 billion to $638.9 billion.

What makes up the deficit?



Secondary income is calculated as the total minus the two reported components ($27.2b − $5.1b − $21.9b), so it is rounded.

Oil and fuel prices rise → Fuel imports up 42.5% → Imports grow faster than exports → Trade balance moves to deficit → Current account deficit widens to $27.2b

Exam angle (3D.3): the trade balance explains the change this quarter, but the level of the deficit is mostly the $21.9 billion primary income deficit. That is the cost of financing past investment with foreign debt and equity, and it persists even when commodity prices are high.

Monthly goods trade: the surplus is thin

August 2026 (ABS, 1 Oct release)	Figure	Change
Goods trade balance	+$495m	July: +$1,351m
Goods exports	$47,433m	+$1,707m (+3.7%) on July
Goods imports	$46,938m	+$2,563m (+5.8%) on July
Iron ore unit values (lump / fines)	−4.4% / −3.0% on July	−15.2% / −14.3% on a year earlier
Non-monetary gold exports	$6,431m	+$1,080m (+20.2%) on July

Why it matters for the rest of the economy

Link to the Australian dollar

The AUD closed at US70.08c on 23 October, with Brent crude at US$113–114 a barrel and iron ore at US$90.73 a tonne (see the 23 October commodity prices item on this site). Higher fuel import costs raise demand for foreign currency, while weaker iron ore prices cut export income.

Link to policy

The RBA's cash rate is 4.60% and unemployment is 4.7% (September). Oil-driven import costs feed into inflation, which is why a fuel shock shows up in both the current account and the RBA's decisions (see the 25 October Saudi oil item on this site).

UPDATE DUE: September quarter balance of payments, ABS, 1 December 2026

Measure	June qtr 2026	Sept qtr 2026 (add)
Current account balance	−$27.2b	
Current account as % of GDP	not on the ABS release page; use the ABS time series	
Trade balance (goods and services)	−$5.1b	
Net primary income	−$21.9b	
Terms of trade	94.8	
Net foreign debt / net international investment position	$1,486.0b / −$638.9b	

Also due: goods trade for September on 5 November 2026.

Syllabus link and try this

Syllabus link

HSC 2009 Topic 3 (3D External stability): 3D.1 measurement of the current account, net foreign debt and net foreign liabilities, terms of trade; 3D.2 trends; 3D.3 positive and negative causes and effects. Links to Topic 2 (balance of payments, exchange rates). 2025 syllabus: Y3e (impacts of the global economy), Y3c (exchange rates).

Try this

1. Outline TWO measures of external stability. (2 marks)
2. Using the data, explain why the current account deficit widened in the June quarter 2026. (4 marks)
3. Assess the extent to which a current account deficit is a problem for the Australian economy. (6 marks)

Sources: ABS, Balance of Payments and International Investment Position, Australia, June 2026 (released 1 Sept 2026) — https://www.abs.gov.au/statistics/economy/international-trade/balance-payments-and-international-investment-position-australia/latest-release · ABS media release, Fuel and vehicle imports widen Australia's trade deficit, 1 Sept 2026 — https://www.abs.gov.au/media-centre/media-releases/fuel-and-vehicle-imports-widen-australias-trade-deficit · ABS, International Trade in Goods, August 2026 (released 1 Oct 2026) — https://www.abs.gov.au/statistics/economy/international-trade/international-trade-goods/latest-release · Prices and rates from earlier items on this site: ABC News markets blog, 23 Oct 2026.